

Why churn nearly doubled — and what to do

Board readout · analysis window Sep 2023 – Aug 2026 · figures dual-computed (SQL + Python), 15/15 parity checks pass

Gross monthly churn stepped from a stable 4.1% to 6.8% at window-month 34 and has stayed there (6.9% → 6.6% → 7.0%). **90% of it is voluntary.** It is not one event.

Root cause: three factors that overlapped in time. None explains the spike alone.

- 1 Connected-TV app regression** — the app "v3" rollout reached smart-TV / streaming-stick last (window-month 32). Video-start failures **tripled** (1.1% → 3.0%). CTV-heavy subscribers churned the **same** as everyone else before; after, their churn **doubled to 8.4%** vs 5.6% for the rest. Acute trigger, biggest contributor, every market — weakest in the US.
- 2 Brazil price increase** (Standard/Premium, window-month 32) — **Brazil only**. Zero measurable effect on engaged subscribers; **+18 pp** on subscribers who were already disengaged (many pushed there by Factor 1). Price × prior disengagement is what makes Brazil *step* (3.4% → 7.0%).
- 3 Mexico cohort-quality drag** — **Mexico only**, and **months old**. Mexican subscribers acquired since ~mid-2025 retain **~8 pp worse at month 3** (vs ~3 pp elsewhere). This was already lifting Mexican churn before the spike and is still underneath it (Mexico 5.4% → 8.1%, drifting then stepping).

Payments were tested and **ruled out**: payment-failure rate, dunning recovery and involuntary churn are unchanged in every market.

By market

Market	Pre-shift	Now	Shape
Brazil	3.4%	7.0%	flat, then a clean +3.0 pp step — acute
Mexico	5.4%	8.1%	drifting up since ~mid-2025, then a further step
United States	4.1%	4.4%	essentially unchanged — the control

What it is costing

Measure	Pre-shift	Now
Implied average subscriber lifetime	24.3 mo	14.7 mo
Lifetime value per subscriber	—	−40%
Excess subscribers lost (3 elevated months, vs the old rate)	—	≈ 5,400

≈ \$0.5–0.6 M of lifetime recurring revenue already forgone, compounding monthly. A 40% lower LTV also cuts the allowable CAC by ~40% — the growth plan no longer pencils at current acquisition cost.

Recommendations — in priority order

1. **Fix the connected-TV player (Sev-1).** Roll back / hotfix v3 on smart-TV and streaming-stick; confirm video-start-failure returns to ~1%. Save-campaign the CTV-heavy subscribers whose viewing dropped after window-month 32.
2. **Pause the Brazil price migration for low-engagement Standard/Premium subscribers.** Give them a retention path (hold price, downgrade, or pause); re-test elasticity after the CTV fix.
3. **Audit Mexico acquisition and onboarding since mid-2025.** Cap spend on the weakest sources until month-3 retention recovers toward ~82%.
4. **Instrument for next time:** connected-TV quality on the exec dashboard, a leading "engagement health" trend, and price-change elasticity by engagement band.

Synthetic, seed-generated data (a portfolio project). Every figure is computed on two tracks — DuckDB SQL and pandas — with a parity assertion on each result (`python data_analysis/run_analysis.py` , 15/15 pass). The mechanism that produced the spike is not stated in any document; it lives only in `etl/config.py` and was recovered from the data. Per-finding method and evidence: `data_analysis/findings/F01 – F10` .